

June 3, 2025

Dr. VINCENT M. BALANAG, JR.
Executive Director IV
c/o: Dr. EILEEN G. ANICETO
Deputy Executive Director IV
Hospital Support Services
Lung Center of the Philippines
East Ave., Diliman, Quezon City, 1101 Metro Manila

Subject: COUNTER-PROPOSAL RE NOTICE TO SETTLE DAMAGES FOR CONTRACT NO. 2022-1115-304

Dear Dr. Balanag:

We hope this letter finds you well. I am writing this letter in behalf of Miss Cristina Receda, President of Xceler8 Technologies Inc (XTI), who is still currently attending to personal medical matters, to present a counter-proposal, based on the face-to-face meeting with the team of Lung Center of the Philippines (LCP) last May 28, 2025 to discuss the NOTICE TO SETTLE DAMAGES FOR CONTRACT NO. 2022-1115-304..

Based on our discussions, LCP maintains that the following penalties were based on Audit Observation Memorandum (AOM) No. 2025-002 (24):

Particulars	Amount
Liquidated Damages (as of December 31, 2024)	P5,962,264.68
Performance Security	P 8,653,503.13
Total Amount	P 14,615,767.81

However, as we have discussed during the meeting with LCP, we were only informed that we are required to also apply for the performance bond for the initial extension (from August 2023 to February 202), and unfortunately, we were only informed by MISD that the performance bond was also required for the extension after the course of the initial extension. We would like to note that though our signatory was required to sign the Notice of Extension, we were never provided a copy of the completely signed copy until December 2, 2024 by the MISD Team, which was a requirement for us to apply for performance bond for the extension. We were also only informed by MISD last December 9, 2024 that our request for further extension of the project was not processed and granted beyond February 2024.

It was also agreed during the meeting that though there were reasons from XTI's end that caused the delay of the project, there were also project management and governance issues from LCP's end that caused delays in the project activities. Our team has reviewed all of the communications and timelines of activities related to the project, and basing it on the exchange of communications over email thread and other communication platforms related to project activities, there were significant delays of the required responses from MISD and other project team members and users involved in the project from LCP's end. We found out that there numerous causes of delays, which also had equivalent billable man-day costs on our end, as summarized below (and supported by documentation and records from the XTI project team):

Project Activities (Summarized)	Days of delayed response (after considering expected 2- day turnaround time)	Services value caused by delay in LCP's response or inaction
HIS Activities	394	8,825,600.00
ERP/PPMP Activities	198	4,435,200.00
Project Charter	77	1,724,800.00
Existing Input Process Output (Workflow process of LCP)	24	537,600.00
TOTAL	693	15,523,200.00

Based on XTI's discounted daily
man-day rate (in PHP, VAT inc.):

22,400

Please take note that the standard man-day rate of XTI is Php 25,000 per day (VAT exc.), and please note that have assigned some resources full-time for this project, which incurred lost business opportunities for us, as well. Also, we still have not considered the fact that in some of the delayed activities above, more than 2 or more resources were actually involved. Please note that we still have not include the delays in submission of templates, workflows and other pertinent details required from LCP for us to be able to perform configuration and other crucial activities to be able to finish project milestones. Please also note that for some of these items, despite our follow-up and constant reminders, our team has waited for as long as 557 calendar days, but were never submitted or provided by the LCP team.

If we were to analyze, our incurred losses and lost business opportunities caused by delays from LCP's project team's end exceed the penalties, as computed by LCP, that you are requiring us to pay. Therefore, in the spirit of good will and fairness, may we propose for LCP to consider waiving the penalties, and consider the matter settled, as we still have every intention of continuing and fostering our existing business relationship, as LCP's current EMR services and support provider.

We would also like to discuss if we can still retract the blacklisting mentioned and the possible repercussions of blacklisting our company in participating in government bids, which may have an impact on the renewal of the EMR system for LCP for the next year.

We would also like to request for a meeting with your kind office to discuss the matter and we are hoping for your consideration of our proposal.

You may contact me on my contact details below for any clarifications.

Best regards,



ERICSON P. ACAPULCO
COO

for: CRISTINA F. RECEDA
President

Xceler8 Technologies, Inc.

Urk.acapulco@xceler8inc.com

M: +63 917 594 0745 ; T: +632 8893 8888

8th/F. The Solar Century Tower, 100 Tordesillas

cor. HV Dela Costa, Salcedo Village, Makati City 1227